

Rating Rationale

19 Aug 2025

ESAF Small Finance Bank Ltd.

Brickwork Ratings downgrades the rating for the Basel III Tier II bonds aggregating to Rs. 20.00 Cr of ESAF Small Finance Bank Ltd.

Particulars:

Instruments**	Amount Rs Cr		Tenure	Rating*	
	Previous	Present		Previous (4 Oct 2024)	Present
Tier II Bonds (under Basel III)	20.00	20.00	Long Term	BWR A-/Stable/ removal from ISSUER NOT COOPERATING* Category (Reaffirmation with Revision in Outlook from Negative to Stable)	BWR BBB+/ Stable/ (Downgraded)
Total	20.00	20.00		Rupees Twenty Cr Only	

*Please refer to the BWR website www.brickworkratings.com/ for the definition of the ratings

** Details of bonds rated are provided in Annexure-II

RATING ACTION/OUTLOOK

Brickwork Ratings (BWR) downgrades the long term rating for Basel III Tier II bonds of Rs 20.00 Cr of ESAF Small Finance Bank Ltd. at BWR BBB+/ Stable, as tabulated above.

BWR has principally relied on the company's financials up to FY25, unaudited financials of Q1FY26, publicly available information, and information/clarifications provided by the company. The rating downgrade necessarily factors in the continued weakening of the asset quality, especially with the Gross NPA ratios crossing more than 7% levels and continued losses for the fifth consecutive quarter impacting the ROAs of the Bank. The Bank's additions to NPAs were relatively higher than the efforts to reduce them through recoveries, upgrades and write offs. The Bank had incurred a net loss of Rs. 521 Cr for FY25, and continued with a net loss of Rs. 81 Cr for the quarter ended 30 Jun 2025. The loss is mainly driven by higher provisions on weaker assets. The bank's majority portfolio consists of microfinance and the stress in the sector continues to impact the bank's overall performance. The Bank had however been making cautious disbursements to the MFI sector and gradually attempting to grow its non micro finance sector. The Bank's total capital adequacy ratio was maintained above 20% levels since FY24, which was above the minimum regulatory requirements. The Bank continues to be supported by a steady capital infusion to sustain the capitalization levels and maintain low gearing levels, with adequate liquidity to meet its near to medium term obligations. The Bank continues to be supported by the promoters and experienced board and management team. BWR shall monitor the developments in the Bank with respect to the improvement in collections and disbursements vis a vis the improvement in the micro finance

industry (MFI) sector, and its impact on the asset quality and profitability. BWR maintains the stable outlook in view of the expectations of improvement in the MFI sector over the next few quarters, and its effect on the bank's performance to improve upon its overall credit risk profile.

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED:

The distinguishing feature of Tier-II capital instruments under Basel III is the existence of the point of non-viability (PONV) trigger, and the occurrence of such a situation may result in the loss of principal to investors, and hence, to default on the instrument by the issuer. According to the Basel III guidelines, the PONV trigger will be determined by the RBI. BWR believes that the PONV trigger is a remote possibility in the Indian context, given the robust regulatory and supervisory framework and the systemic importance of the banking sector. The inherent risk associated with the PONV feature is adequately factored into the rating on the instrument. The tier II bonds (under Basel III) of the bank are partly raised for a tenor of 10 years at a competitive coupon rate to strengthen the capital structure of the bank. Further details of the bonds such as the coupon rate, frequency of interest payment etc are given in Annexure - II.

KEY RATING DRIVERS

Credit Strengths:-

Adequate Capitalization level

The bank's total CRAR stood at 22.74% as of 30 June 2025 which has improved from 21.8% as of 31 March 2025, and its Tier I ratio was 18.4% as of 30 June 2025 and 17.6% as of 31 March 2025, comfortably above the minimum regulatory requirement, to support its business growth. The bank was listed on the stock exchanges in November 2023, wherein it had raised capital amounting to Rs. 463 Cr through the Initial Public offering (IPO). The bank has raised Non-Convertible Debentures (Tier II Subordinated Bonds) on private placement basis of Rs. 50 Cr on 14 Aug 2025. The Bank is also planning on strengthening its capitalisation levels through further capital infusion during the next one year.

Strong Board and Management

Mr. P R Ravi Mohan, Chairman has over 41 years of experience and was engaged in providing technical assistance regarding banking supervision and financial stability to 13 countries in Sub Saharan Africa. He was heading the Banking Supervision Department of RBI and also worked as Chief General Manager with the Department of Banking Operations and Development of RBI.

ESAF SFB is promoted by Mr. K Paul Thomas, CEO and Managing Director who is also the founder of ESAF group. He has over 34 years of industry experience, of which more than 24 years are in the microfinance sector. They are accompanied by one executive director, one non-executive director, five non executive independent directors and two Non-Executive Nominee Director. The company has comfort that the promoter ESAF Holdings can infuse capital and maintain the CRAR.

Credit Risks:-

Weakening Asset Quality Metrics

The bank's asset quality weakened. GNPA in absolute terms increased from Rs. 1242 Cr as of 30 Jun 2024 to Rs. 1363.63 Cr as of 30 Jun 2025. GNPA ratio weakened from 6.6% in Q1FY25 to 7.48% in Q1FY26. NNPA in absolute terms increased from Rs. 583.8 Cr as of 30 Jun 2024 to Rs. 660.9 Cr as of

30 Jun 2025. NNPA ratio weakened from 3.2% in Q1FY25 to 3.77% in Q1FY26. Slippages have increased YoY from Rs. 390.4 Cr in Q1FY25 to Rs. 468.1 Cr in Q1FY26. Recoveries and upgrades have been slow and have declined YoY. While there were no write offs during the Q1FY26, as was seen in the previous few quarters, the bank had Sale to ARCs of Rs. 362.4 Cr during Q1FY26, however. GNPA levels remained high

For gold loans, on a YoY basis, SMA-0 has increased and the SMA-1 and SMA-2 have declined, indicating stable asset quality. For micro loans, on a YoY basis, SMA-0 and SMA-1 have declined but SMA-2 has increased. For retail loans and other loans, on a YoY basis, SMA-0, SMA-1 and SMA-2 have all increased, indicating likely slippages to increase over the near term in the event of continued slower collections. GNPA for gold loans have been on the declining side for Q1FY25. GNPA for micro loans has not changed much and has weakened YoY. GNPA for retail and other loans have been increasing quarter on quarter. It has more than doubled from Q1FY25 on YoY. Provision Coverage Ratio at 73.2% as of 30 June 2025 was better than 61.9% as of 30 Jun 2024, but asset quality remains a concern.

Going forward, reduction in slippages to NPA and an improvement in its collection efficiency to improve upon its asset quality shall be the key monitorable. Any further significant deterioration in the asset quality i.e. increase in the Gross NPA ratios shall be a key rating sensitivity.

Weakening Earnings profile

Net Interest Income (NII) weakened by 35.71% from Rs. 588 Cr in Q1FY25 to Rs. 378 Cr in Q1FY26. The lower yields from disbursements in loans from non MFI books impacted the interest income of the bank, apart from incremental cost of borrowings. NIM weakened to 6%, yet remains better than most PSBs. This was on account of change in loan mix and increase in slippages. Pre-provisioning operating profit (PPoP) declined to Rs. 124.92 Cr in Q1FY26 from Rs. 254 Cr in Q1FY25. The bank reported a loss of Rs. 81.22 Cr in Q1FY26 as compared to a profit of Rs. 63 Cr in Q1FY25. The bank faced macro-level systematic stress primarily in the microlending book. On a YoY basis, Cost to income increased from 64% in Q1FY25 to 78.2% in Q1FY26, ROA weakened from 0.9% in Q1FY25 to - 0.3% in Q1FY26 and ROE have weakened from 9.9% in Q1FY25 to -17.1% in Q1FY26.

Diversifying the Portfolio Mix and Concentration risk remains monitorable

Diversifying the credit risk profile across the product mix and geographies remains monitorable. A gradual reduction of concentration of business in certain states will assist in improving upon its over credit profile and the asset quality. The bank's portfolio primarily comprises small ticket size and has short tenure loans requiring healthy collection efficiency levels at least at par with its peers in the industry. Maintaining a balanced portfolio mix with better yields and healthy collection efficiency will reduce asset quality concerns and improve profitability. 60% of the Banking Outlets network in south India. While the bank operates in 26 states, its advances and loan portfolio are heavily concentrated in the southern region of India, particularly in its home state of Kerala and Tamil Nadu, which together account for 59% of the total gross advances as of June 2025.

Operating in an intense competitive landscape

The bank faces stiff competition from both other Small Finance Banks (SFBs) and larger universal banks. The presence of multiple players offering similar financial products, particularly in the priority sector

lending space, puts pressure on margins and limits pricing power. Additionally, larger universal banks, with their broader reach and greater financial resources, often offer more attractive loan terms, making it challenging for smaller institutions like SFBs to compete effectively. This reflects in bank's various financial parameters such as RoA reduced to -0.3% in Q1FY26 from 0.9% in Q1FY25, yield on advances reduced to 16.2% in Q1FY26 from 20.2% in Q1FY25, NIM reduced to 6% in Q1FY26 from 9.4% in Q1FY25 and cost-to-income ratio deteriorated to 78.2% in Q1FY26 from 64% in Q1FY25.

ANALYTICAL APPROACH AND APPLICABLE RATING CRITERIA

For arriving at its ratings, BWR has considered the standalone approach for the Company. BWR has applied its rating methodology as detailed in the Rating Criteria detailed below (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

Going forward, the company's ability to show substantial growth in its loan portfolio, while maintaining asset quality, profitability, and adequate liquidity will be a key rating sensitivity factor.

Positives:

- The rating could be upgraded if the bank significantly improves upon its asset quality better than the industry average with sustained improvement in GNPA by less than 5%, scales up business operations and improves profitability.
- Diversification across geography and sector-wise in the corporate loan segment, without adversely affecting profit margins.

Negatives:

- The rating may be downgraded if there is a further significant deterioration in asset quality with GNPA above 10% .
- Decline in CRAR below 18%, substantial fall in AUM resulting in weakening profitability metrics could result in downgrade of the rating and or outlook .

LIQUIDITY INDICATORS: ADEQUATE

The bank had cash and bank balances of Rs. 1093.35 Cr. as of 30 June 2025. As of 31 Mar 2025, LCR stands at 140%, leverage ratio stands at 6.63% and NSFR stands at 165.26%. They all are above the regulatory requirements. The company is yet to make the disclosure for June 2025. Additionally, the bank's loan portfolio consists of small tenured loans which enhances the liquidity condition.

COMPANY PROFILE

ESAF Small Finance Bank Ltd (ESAF SFBL) was incorporated in May 2016, received the final license from RBI on Nov 18, 2016 to establish a Small Finance Bank (SFB) and started its commercial operations in Mar 2017. On 27 Dec 2018, it received "Scheduled Commercial Bank" status from RBI. ESAF SFB is promoted by Mr. K Paul Thomas, CEO and Managing Director who is also the founder of ESAF group. He has over 34 years of industry experience, of which more than 24 years are in the microfinance sector.

As of 31st March 2025, ESAF Small Finance Bank has a network of 787 branches, 693 ATMs and 1,106 Customer Service Centres across 24 States and 2 Union Territories with a customer base of more than 9 Million and 12,520 employees.

KEY FINANCIAL INDICATORS (Standalone)

Particulars	Units	FY23 Audited	FY24 Audited	FY25 Audited	Q1FY26 Unaudited
Total Loan book	Rs. Cr.	16,331	19,659	19643	19809
Total Deposits	Rs. Cr.	14,666	19,868	23276	22698
PAT	Rs. Cr.	302	426	-521.4	-81.22
Gearing	Times	1.4x	0.8	0.56	0.51
CRAR	%	19.8	23.3	21.8	22.74
GNPA	%	2.5	4.8	6.9	7.48

NON-COOPERATION WITH PREVIOUS CREDIT RATING AGENCY IF ANY: None from other CRA

RATING HISTORY FOR THE PREVIOUS THREE YEARS [including withdrawal and suspended]

Sr. No.	Name of the instrument	Current Rating 2025			Rating History			
		Type	Amount (Rs Cr)	Rating	2024	2023	2022	2021
1	Tier II Bonds (under Basel III)	Long Term	20	BWR BBB+/Stable/ (Downgraded)	04-Oct-2024 BWR A-/Stable /removal from ISSUER NOT COOPERATING* Category (Reaffirmation with Revision in Outlook from Negative to Stable) 04-Apr-2024 BWR A-/Negative / ISSUER NOT COOPERATING*/ Downgrade	-	30-Dec-2022 BWR A/ Negative (Reaffirmed) Rs. 20 Cr Withdrawn on non-utilization Rs. 280 Cr 18-Mar-2022 BWR A/ Negative (Assignment) Rs. 300 Cr Withdrawn on redemption Unsecured NCD Rs. 50 Cr	16-Mar-2021 BWR A Stable (Reaffirmed) Unsecured NCD Rs. 50 Cr
	Total		20		Rupees Twenty Cr Only			

Note- Unsecured NCDs of Rs. 50 Cr was withdrawn on redemption in March 2022 and Rs.280 Cr was withdrawn on non-utilization in Dec 2022.

COMPLEXITY LEVELS OF THE INSTRUMENTS: Highly Complex

For more information, visit <http://www.brickworkratings.com/download/ComplexityLevels.pdf>

Hyperlink/Reference to applicable Criteria

- [General Criteria](#)
- [Bank Financial Institution](#)
- [Approach to Financial Ratios](#)
- [Capital Instruments Issued by Banks and FIs](#)

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ESAF SMALL FINANCE BANK

ANNEXURE-I

Details of Bank Loan Facilities rated by BWR: NA

ANNEXURE-II

INSTRUMENT (Bonds) DETAILS

Instrument	Issue Date	Amount (Rs. Cr.)	Coupon Rate	Maturity Date	ISIN	Complexity@
Tier II Bonds (under Basel III)	31 Mar 2022	20.00	11.25%	30 Apr 2032	INE818W08081	Highly Complex

@<http://www.brickworkratings.com/download/ComplexityLevels.pdf>

ANNEXURE III

List of entities consolidated: NA



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